

went way down, since errors were hidden—temporarily—under cheaper financing. Gradually, people came to expect no accidents at all—and certainly not in government debt.

DON'T TAKE A BIG LOSS

There's another very important reason to let the market tell its story. Family money must last through more than a single bull market. We want money that will last for generations. And remember, it's not enough to stay in the same place. You can't stay in the same place. Because the world moves. Try to remain in the same place and you will be left behind. You need to enlarge your assets to keep up with it—and to offset the inevitable setbacks. You can't afford to climb up the mountain and then climb down again. You've got to get somewhere.

And you can't afford to gamble, either. If you have a million dollars and you judge the chance of a big run-up in the cotton market as 50/50, you can put your whole wad on cotton—either you'll have a lot more money or you'll have nothing.

A speculator or a gambler might be perfectly happy to take that bet. We can't. We know that building a family fortune (even a very small one) is a long, hard process. We can't afford to lose it. Our goal is to succeed, not to win. And we succeed by respecting the first rule: Don't Take a Big Loss.

You don't take a big loss because you can't recover from it. As a custodian of Old Money or a builder of it, you have to make sure you do not bet the farm on anything. You also have to make sure you keep your eyes and ears open, letting the markets tell their story. The riverboat gamblers may have their eyes down on the table, waiting for the next ace to come up. But you have to put your head out the window and see where the boat is going.

The problem with “conservative” investments is that they usually aren't. The markets work their perverse magic to turn everything on its head. That which is most risky, as judged by the majority of investors, is actually the most safe. That which is supposed to be the most safe actually carries the most risk. Risk is not measured properly by volatility. It can be understood